PROFITNITIAI

ProfitNiti AI Pvt. Ltd.
123 Finance Street, Mumbai, India
Email: info@profitniti.com
Phone: +91 98765 43210

1. Big Picture — How the Business Looks Right Now

The business is experiencing severe financial distress with collapsing profitability and negative equity position. Sales remained relatively stable through Q4 FY2024-25 but profitability deteriorated dramatically in April 2025 with a massive ₹602M net loss. Cash flow from operations turned positive in recent months, though this improvement is overshadowed by the substantial equity erosion and negative working capital position.

□ GREEN FLAG BOX — What's Working Well:

- □ Operating cash flow turned positive (₹547.5M in April 2025)
- □ Inventory management improved with zero closing stock in April 2025
- □ Long-term borrowings showing consistent reduction trend

□ RED FLAG BOX — What Needs Attention:

- ⚠ Massive net loss of ₹602M in April 2025 eroding equity base
- ⚠ Negative equity position (-₹407.8M) indicating solvency concerns
- ⚠ Gross margin collapsed to -60.67% due to cost overruns

Overall Health Gauge: □ CRITICAL

Severe profitability crisis with negative equity

Sales-Profit-Cash Trend Line

Sales: Stable → Profit: Sharp Decline → Cash Flow: Improving

January: Sales ₹935M / Loss ₹33.7M / Cash Flow Negative

April: Sales ₹967M / Loss ₹602M / Cash Flow Positive